Pinnacle Utilities Holdings

Board update - Q3 2026 · For the board meeting of 12 November 2026

Company code CO-034 · Water treatment · Hamburg, Germany · Prepared by the CEO and CFO

1. Summary for the board

- Q3 2026 revenue was USD 68.67m, USD 0.83m above the target of USD 67.84m: the first quarter on or above target in 2026.
- Q1 and Q2 2026 both missed target, so year-to-date revenue of USD 189.16m is USD -4.01m (-2.1%) against the YTD target of USD 193.17m.
- YTD EBITDA is USD 85.35m, an EBITDA margin of 45.1%.
- The tariff review with the Hamburg regulator is the main item for decision (section 4).

2. Quarterly results 2026

Quarter	Revenue	Target	Variance	EBITDA
Q1 2026	USD 57.35m	USD 59.33m	USD -1.98m	USD 25.81m
Q2 2026	USD 63.14m	USD 66.00m	USD -2.86m	USD 28.69m
Q3 2026	USD 68.67m	USD 67.84m	USD 0.83m	USD 30.85m
YTD 2026	USD 189.16m	USD 193.17m	USD -4.01m	USD 85.35m

The first-half misses came from lower industrial water volumes after two large customers cut production. Volumes recovered in Q3, helped by a dry summer and a new supply contract with a food processing plant.

3. Operations and balance sheet

Hamburg Water treatment plant (369 ML/day, in service since 23 December 2005, book value USD 299.5m) ran at an average of 81% of capacity in Q3, with no compliance breaches. Capex rose from USD 69.1m in FY2024 to USD 93.8m in FY2025 for the membrane filtration upgrade, which is now 70% complete. Net debt was USD 558.0m at the end of FY2025 (5.5x FY2025 EBITDA of USD 101.6m).

4. Decisions requested

- Approve the submission of the 2027-2031 tariff proposal (average real increase of 2.4% per year).
- Approve a further USD 45m of capex to complete the membrane filtration upgrade in 2027.
- Note the plan to refinance the 2028 bank loan early if rates stay at current levels.

5. Risks to watch

- Industrial demand: the two customers that cut volumes have not confirmed 2027 orders.
- Regulation: the tariff decision is expected in Q2 2027; a lower outcome would cut FY2028 revenue.
- Energy costs: electricity is about 18% of operating costs and is hedged only to mid-2027.

Shareholding: the portfolio fund owns 100% of Pinnacle Utilities Holdings since 2 April 2022.

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